MARKETBEAT

SAN DIEGO

OFFICE Q1 2026



CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
15.4% Vacancy Rate	▲	▼
-335K YTD Net Absorption, SF	▼	▲
$3.48 Asking Rent, PSF *(Overall, All Property Classes)*	▼	▼

ECONOMIC INDICATORS

	YOY Chg	Outlook
1.6M San Diego Employment	▲	▲
4.7% San Diego Unemployment Rate*	▲	▼
4.3% United States Unemployment Rate	▲	▲

Source: BLS
**Q4 2025*

ECONOMIC OVERVIEW

San Diego employment increased by 10,900 jobs, or 0.7% year-over-year (YOY) between January 2025 and January 2026, reflecting modest growth that continues to trail historical trends and temper office demand. Healthcare and education drove job growth, adding 16,600 jobs (+6.2% YOY), but these sectors provide limited direct support for traditional office leasing.

Other sectors posted moderate gains, including leisure and hospitality (+5,900 jobs, +3.0% YOY), along with smaller increases in professional and business services (+700 jobs YOY) and financial activities (+300 jobs YOY). While growth in professional and business services supports office demand, overall expansion remains limited, signaling continued occupier caution.

Several office-using sectors declined, led by government (-8,500 jobs YOY), primarily due to federal job losses, alongside declines in construction, information and manufacturing, collectively reducing key demand drivers for office space.

The unemployment rate increased modestly to 4.7[1], up from 4.5% YOY and in line with the Q4 2025 average, indicating a stable but not accelerating labor market. However, job growth remains concentrated outside of core office-using sectors, suggesting a still-fragile backdrop for office demand.

Looking ahead, projected employment growth of 1.0% in 2026 and 0.8% in 2027[2] - both below the five-year historical average of 1.8% - points to continued pressure on office-using employment and a slower, uneven recovery in the San Diego office market.

SUPPLY AND DEMAND

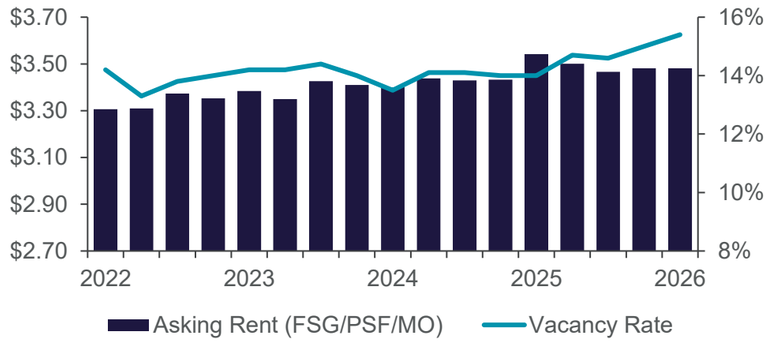
San Diego's overall vacancy rate increased 40 basis points (bps) quarter-over-quarter (QOQ) and 140 bps YOY to 15.4%, reflecting ongoing tenant turnover. The direct vacancy rate increased 40 bps QOQ and 120 bps YOY to 14.1%, while sublease vacancy held flat QOQ at 1.2% and increased 20 bps YOY.

Significantly, total sublease availability declined to 3.3%, down 10 bps QOQ and 40 bps YOY, signaling gradual absorption of pandemic-era shadow space. However, sublease levels remain 160 bps above Q1 2020 and 110 bps above the pre-pandemic 10-year average.

SPACE DEMAND / DELIVERIES



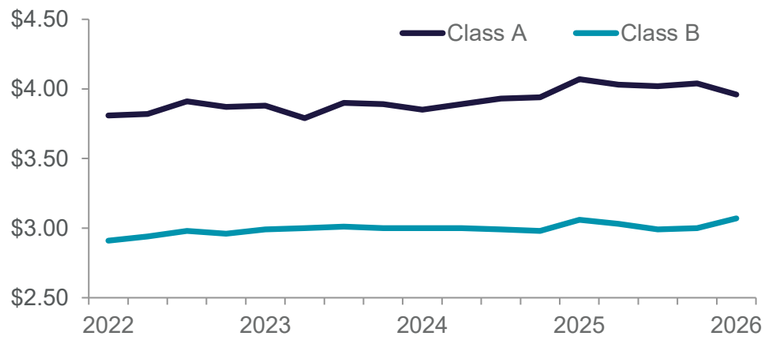
OVERALL VACANCY / ASKING RENT



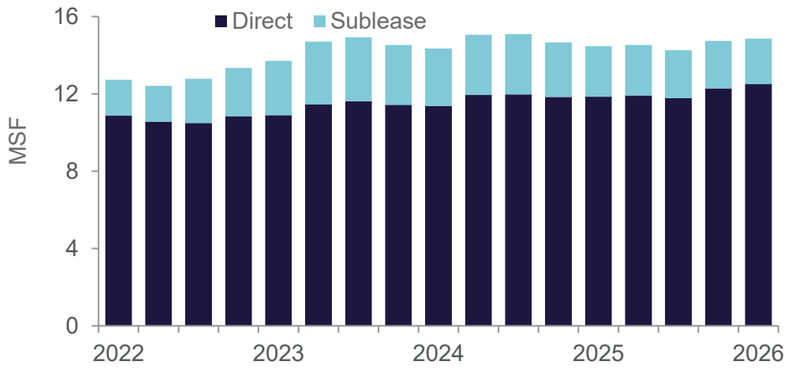
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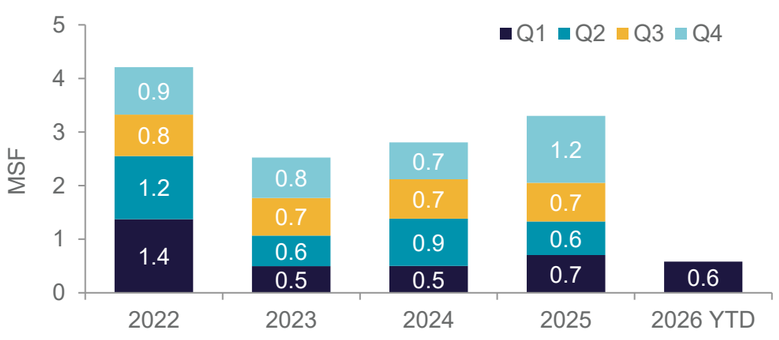
AVERAGE OVERALL ASKING RENT $PSF MONTHLY



DIRECT VS. SUBLEASE AVAILABLE SPACE



NEW LEASING ACTIVITY



Net absorption totaled negative 334,821 sf in Q1 2026, driven primarily by losses in Class A space (-342,213 sf), concentrated in Central County submarkets. Nissan's 96,500 sf vacancy in Campus Point contributed most significantly, followed by losses in Scripps (-95,000 sf) and Sorrento Mesa (-71,000 sf).

TENANT TRENDS

After an exceptionally strong Q4 2025, leasing activity declined to 580,170 square feet (sf), excluding renewals, down 53% QOQ and 17% YOY, and below the 2022-2025 quarterly average of 802,000 sf. While economic uncertainty and evolving hybrid work strategies continue to influence decision-making, many tenants remain focused on upgrading to higher-quality space. Class A properties accounted for 62% of leasing activity in 2025, with trophy and amenitized buildings drawing strong interest, particularly among firms seeking to incentivize in-office attendance.

By industry, professional and business services tenants led activity, accounting for 32% of new leasing, followed by life sciences (15%), government (9%) and legal services (8%). Among tenants leasing under 10,000 sf, professional and business services (21%), legal services (17%) and technology (13%) accounted for nearly 50% of the volume, highlighting sustained demand from small to mid-sized users.

PRICING

The countywide average overall asking rent across all classes softened modestly, declining 1.7% YOY to $3.48 per square foot (psf) on a monthly full-service basis. Class A average rent decreased by 2.7% to $3.96 psf YOY, while Class B average rent increased slightly 0.3% YOY at $3.07 psf, reflecting continued value-seeking behavior.

Sublease availability declined to 2.3 million square feet (msf), or 71% of its peak (3.3 msf in Q1 2023), signaling ongoing absorption of excess space. Meanwhile, suburban submarkets have remained steadfast with stable vacancy and rents. Downtown remains an outlier, with a direct vacancy rate of 29.3%, which is putting downward pressure on rents.

FUTURE INVENTORY

The Campus at Horton is expected to deliver 243,000 sf in 2026, which could increase Downtown vacancy by approximately 240 bps if demand is insufficient. While 14.2 msf of proposed office development remains in the pipeline, financing constraints and economic uncertainty continue to delay projects without meaningful pre-leasing.

OUTLOOK

- Tenant behavior continues to evolve as occupiers balance hybrid work policies with changing business needs. Sub-10,000 sf leases remain the most active, reflecting continued rightsizing, while demand for mid-sized spaces (10,000–50,000 sf) has gained traction and now represents 40.5% of upcoming lease expirations over the next 12–24 months. Smaller tenants represent 39.7% of total rollover, reinforcing the fragmented nature of demand and favoring landlords with flexible floor plates and move-in-ready space.
- Countywide, active tenant requirements total 2.9 msf for spaces over 10,000 sf over the next two years, though conversion to signed deals will likely remain gradual.
- Many occupiers continue to prioritize high-quality, amenitized buildings that align with downsized, post-pandemic footprints, placing increased pressure on older, less competitive assets. As a result, flight-to-quality dynamics are expected to persist, with well-located Class A and upgraded Class B properties outperforming. At the same time, buildings requiring capital investment may face longer lease-up periods or greater pricing pressure.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)**	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)*	OVERALL AVG ASKING RENT (CLASS A)*
North County	11,647,748	123,905	1,457,839	13.6%	-40,489	-40,489	77,937	0	$2.94	$3.21
Central County	42,592,549	677,022	5,174,890	13.7%	-297,634	-297,634	391,798	0	$3.58	$4.23
South County	17,412,848	74,298	3,504,737	20.6%	3,302	3,302	110,435	242,774	$3.57	$3.91
Class A	35,179,010	313,182	5,686,611	17.1%	-342,213	-342,213	224,923	242,774	$3.96	
Class B	28,316,335	554,438	3,782,863	15.3%	-18,800	-18,800	301,107	0	$3.07	
Class C	8,157,800	7,605	667,992	8.3%	26,192	26,192	54,140	0	$2.20	
SAN DIEGO TOTALS	**71,653,145**	**875,225**	**10,137,466**	**15.4%**	**-334,821**	**-334,821**	**580,170**	**242,774**	**$3.48**	

***Rental rates reflect full-service gross (FSG) asking, $psf/month. **Renewals not included in leasing statistics.*

KEY LEASE TRANSACTIONS Q1 2026

PROPERTY	SUBMARKET	TENANT	SF	TYPE
765 3rd Ave.	Chula Vista – West	State of California	24,289	Renewal**
9560 Towne Centre Dr.	Eastgate	UCSD	22,097	Renewal**
101 W. Broadway	Downtown	Horton, Oberrecht, Kirkpatrick & Martha	21,071	Renewal**
15255 Innovation Dr.	Rancho Bernardo	Logos Space	18,485	New
2100 Kettner Blvd.	Downtown	Clark Construction	14,187	New

KEY SALE TRANSACTIONS Q1 2026

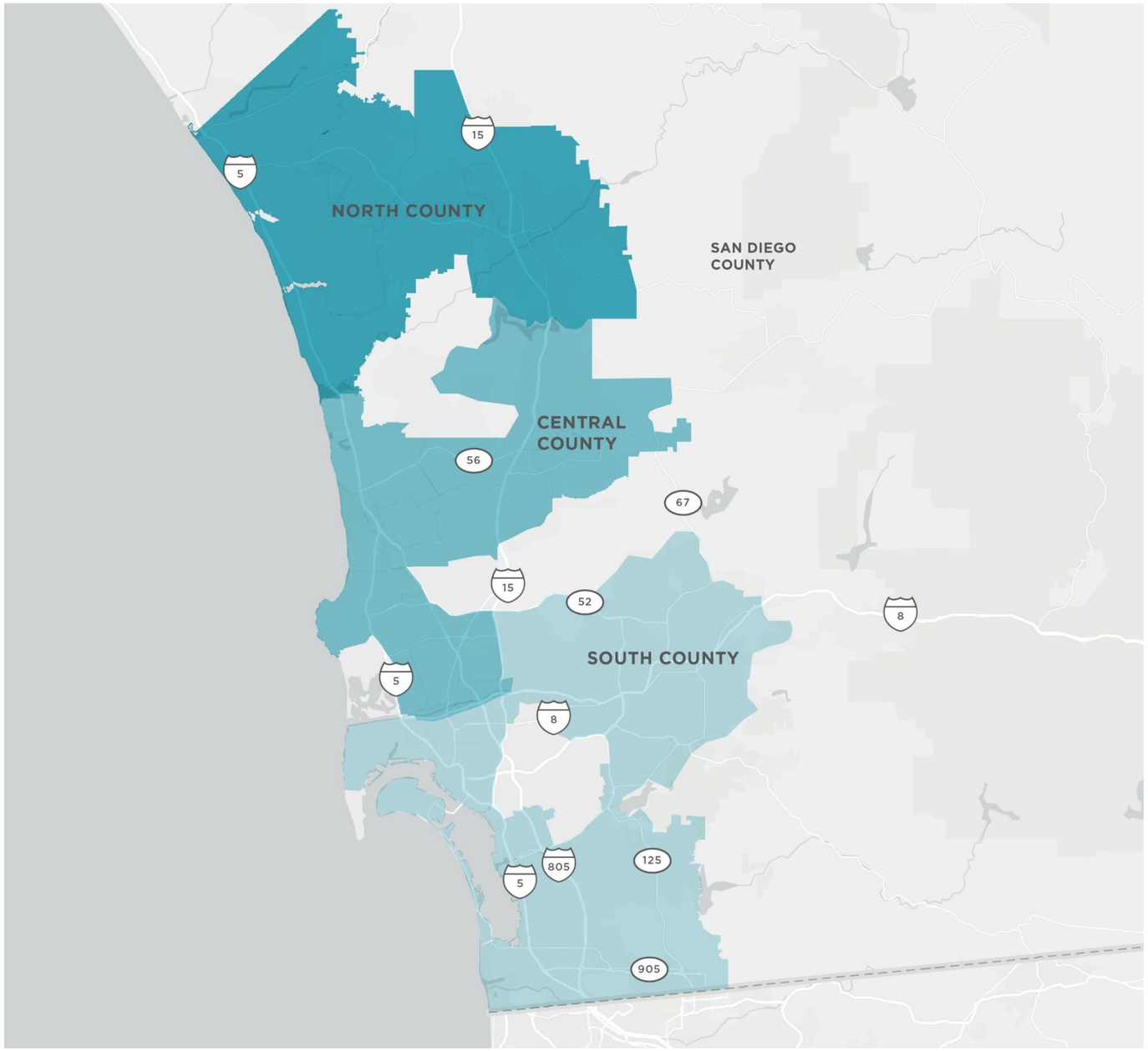
PROPERTY	SUBMARKET	SELLER / BUYER	SF	PRICE / $ PSF
1 & 2 Columbia Place	Downtown	Regent Properties / Ganmi	744,855	$103.5M / $139
Sabre Springs	Rancho Bernardo	Kilroy Realty Corporation / Axos Bank	427,205	$124.5M / $291
The Quad	Carlsbad	Regent Properties / Barker Pacific Group	179,537	$30.0M / $167
Plaza Del Mar	Del Mar Heights	Cruzan / Bridgeway Real Estate Partners	116,831	$43.0M / $368
Del Mar Technology Center	Del Mar Heights	Kilroy Realty Corporation / Scripps Health	39,193	$21.0M / $536

Sources: [1]www.bls.gov San Diego Carlsbad, CA MSA. [2]Lightcast forecast for San Diego Carlsbad, CA MSA as of 4/2026.

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OFFICE SUBMARKETS



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